

Monopolies



When there are many firms in a market they compete and keep prices low. Suppose that prices and profits were particularly high in some industry. This would attract new firms who would enter the market and compete prices down. A monopoly is the opposite case – one firm controlling an entire market.

A monopoly can arise when there are high barriers – perhaps technological or legal – to competitors entering. Because the monopoly controls the entire market it can set the price of the good or the quantity supplied. Economic theory says that monopolists restrict output relative to what would be produced in a competitive market, leading to higher prices and greater profits. Economists tend to be critical of monopolies because consumers lose out compared to the higher output that would emerge in a competitive market. This is one of the justifications

for competition policy, which aims at restricting the formation of monopolies.